CAMBIAR INVESTORS

CAMBIAR SMID FUND COMMENTARY 3Q 2026



MARKET REVIEW

U.S equity markets posted mixed results for the third quarter. The large cap proxy S&P 500 Index registered a 2.4% gain – getting a major assist from notable mega-cap tech stocks that are large constituents in the benchmark. Yet the aggregate index return masks the underlying deterioration in market breadth, as evidenced by the -1.9% return for the Equal Weight S&P 500 (RSP). The median stock in the S&P is trading at ~16% below its 52-week high at quarter-end – the weakest market breadth since the late 90s dot-com era. The outperformance of mega cap tech stocks is certainly not a new development; however, broader participation would reduce reliance on the AI capex trade that has been propping up the economy (and the stock market).

Small cap stocks were also dented by the tightening in financial conditions, with the Russell 2000 Index posting a 3Q return of -7.2%. Small caps had been leading to the upside through the first half of 2026, but gave way to a 3-punch combination of higher input prices, higher transport prices, and higher financing costs.

The quarter saw a sharp rise in oil prices, as prices for West Texas Intermediate ranged from $67 in July to $107 in mid-September. The higher price deck contributed to the decision by the Federal Reserve to raise rates at their September meeting. There was also a corresponding response in bond yields, as the 10-year Treasury yield ended the period at 5.2% - the highest level since mid-2007. The surge in borrowing costs has been a global event, with yields in Japan, Europe and the UK breaching levels not seen over the past 15 years. Key drivers include high energy prices, sticky inflation, hawkish central banks, widening budget deficits, and competition for capital amid the AI datacenter buildout.

Remember the "new normal" framework that surfaced during the post-GFC period? The impetus was that the U.S would be mired in a prolonged period of subdued economic growth, which would then validate exceptionally low interest rates and unorthodox central bank policies. Corporations (and investors) anchored to this ultra-low rate backdrop, with risk assets a key beneficiary. Suffice to say, that view is now in the rear-view mirror, replaced by the 'old normal' of nominal GDP and associated yields of the 1990s and 2000s. This does not necessarily equate to a bear thesis for equities (the stock market did pretty darn well in the 90s); yet given a substantial amount of corporate activity that only made sense in an ultra-low rate regime, some comeuppance may be necessary.

What are the implications of rising bond yields for equity investors? As Warren Buffett once said, 'Interest rates are to stocks what gravity is to matter.' Rising yields translate into a higher discount rate, which should be a headwind for aggregate equity valuations – in particular longer-duration growth stocks. On the flip side, if yields are simply repricing to reflect stronger-than-expected economic growth and corporate earnings remain strong, the market may be able to withstand the upward move in rates. Bond yields can and should track nominal GDP.

At a stock level, a higher cost of capital is likely to be more impactful for companies with elevated debt ratios that need to be rolled over in the current rate backdrop. In contrast, the adjustment to a higher neutral rate should not be as challenging for investment candidates prioritized by the Cambiar team – i.e., high quality businesses that we believe to possess durable earnings power, persistent margins, and more conservative leverage profiles. As always, selectivity remains paramount.

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SMID FUND

	3Q 2026	YTD	1 Year	3 Year	5 Year	10 Year	Since Inception - Inv	Since Inception - Inst
CAMMX	-5.47%	10.52%	12.31%	6.32%	4.43%	9.48%	8.74%	-
CAMUX	-5.47%	10.59%	12.43%	6.44%	4.52%	9.56%	-	7.95%
R2500V	-4.36%	18.75%	22.49%	19.12%	9.76%	10.12%	9.95%	9.30%

Inception Date: CAMMX (5.31.2011) | CAMUX (11.3.2014). All returns greater than one year are annualized. ***The performance quoted represents past performance and is no guarantee of future results. The investment return and principal value of an investment will fluctuate so that an investor's shares, when redeemed, may be worth more or less than the original cost, and current performance may be lower or higher than the performance quoted. For performance data current to the most recent month-end, please call 1-866-777-8227.***

As of 9/30/26, expense ratios are CAMMX: 1.19% (gross); 0.95% (net) | CAMUX 1.08% (gross); 0.85% (net). Fee waivers are contractual and in effect until March 1, 2027. Absent these waivers, total return would be reduced. *The Fund imposes a redemption fee of 2.00% on shares held less than 90 days. Your return will be lower if a redemption fee is applied to your account.*

After successive quarterly gains to start the year, small/mid cap equities posted a modest loss for the third quarter. The Cambiar SMID Fund was unable to sidestep the weaker environment, registering a relatively in-line return with the Russell 2500 Value Index. The portfolio benefited from positive stock selection in Financials and Energy, while below-benchmark performance within Healthcare and Industrials weighed on 3Q results.

Buy/sell activity was more elevated in comparison to past quarters, consisting of four initiations, six liquidations, and incremental adds/trims to existing positions. New purchases spanned various sectors, and our underwriting process remains focused on identifying company-specific catalysts that can drive earnings/multiple expansion, vs. trying to fit a specific market narrative. Examples include Hasbro (leading game/toy manufacturer that is ramping into the digital gaming space) and Gartner (tech-focused research and advisory services).

In contrast to the broad-based positive returns in 2Q, sector performance was more mixed in the third quarter. The sharp rise in oil/diesel prices was a notable tailwind for the Energy sector but was a drag on the transport-heavy Industrials sector. The resulting smaller wallet share for consumers due to higher prices at the pump was also a negative for Consumer Discretionary stocks. Meanwhile, bond-proxy sectors such as Utilities and Real Estate posted weaker returns in response to higher bond yields, while Healthcare stocks closed higher in the quarter. Finally, the all-important Technology sector was essentially flat for 3Q, which we would consider a win – given the parabolic move in tech stocks over the first half of the year.

The quarter was a good example of the reduced operational/financial flexibility that smaller cap stocks possess (vs. large caps) in dealing with macro variables such as rates and energy prices. For example, the move in rates resulted in a flatter yield curve, which often leads to lower net interest margins (NIM) for many banks. While large cap banks can offset lower NIMs with other lines of business such as financial services, trading and asset management, smaller regional banks often generate the bulk of their revenues via traditional loan activity. Thus, while the large cap Financial Sector ETF (XLF) was flat for the quarter (-0.04%), the S&P Regional Banking ETF (KRE) returned -6.7% in 3Q.

Staying with Financials, Cambiar's holdings in the sector held up well vs. the index, resulting in a positive contribution to relative performance for the quarter. Although the portfolio incurred drawdowns in Prosperity Bancshares and Lazard, strong gains from non-bank holdings such as WEX, Reinsurance Group of America, and CBOE Global Markets provided a good offset. While cognizant of the positive correlations that exist within the sector, our team remains focused on building a diverse set of quality financial companies that can provide varying exposures; examples include regional banks, payments/transaction processing, an exchange, and insurance providers.

Diversification does not protect against market loss.

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The wide move in energy prices has been a prominent headline in 2026. Given the potential for oil prices to contract upon resolution of the Middle East conflict, we chose to have limited exposure in the Energy sector with a single position in HF Sinclair – which operates branded gas stations and also has a refining segment. The blowout in crack spreads (measures how much refiners earn from turning oil into diesel and gasoline) has resulted in windfall profits for Sinclair in recent quarters, with the stock more than doubling in 2026. Given the reduced upside, we sold the position in favor of Expand Energy, which is the largest natural gas producer in the U.S. Natural gas prices are currently low due to expectations for a warmer winter (El Nino), but should recover over a longer arc due to stronger demand trends (e.g., the ongoing datacenter buildout). Expand hedges a portion of its production, providing some level of revenue visibility. The company's recent acquisition of Twin Eagle (natural gas storage/pipeline assets) should provide additional synergies and free cashflow upside.

The outsized move in diesel prices during the quarter contributed to weaker returns in Southwest Airlines and SAIA Inc. – two of the portfolio's holdings in the Industrials sector. SAIA is a shorter-haul transport company (trucking); the company can offset higher diesel prices via fuel surcharges, and reduced competition due to the more challenging environment will ultimately be a positive for the industry and SAIA. Consistent with our focus on low leverage, SAIA's net cash balance sheet provides the company with good optionality as it relates to enhancing shareholder returns.

On a more positive note, the portfolio incurred a takeout during the quarter, as ACV Auctions (wholesale vehicle auction marketplace) was acquired by Copart, a larger player in the industry. Although the all-cash offer resulted in a meaningful gain in the stock during the quarter, it is our view that Copart is getting a very good deal vs. our fair value estimate for ACVA. In light of the expanded market position and added technology capabilities that this transaction now provides Copart, we initiated a position in the company.

Cambiar's overweight exposure to Technology added value from an allocation perspective but was overshadowed by below-benchmark performance for the period. At a stock level, ON Semiconductor and Lattice Semi each registered declines in the July rotation out of hardware names. Given the strong gains in both stocks during the first half of the year, perhaps some giveback was warranted in 3Q, and we remain constructive on the multi-year earnings outlook for both positions. The recent purchase of Nutanix (NTNX) is off to a good start, with the stock moving higher in response to a positive earnings report. Nutanix utilization software allows servers to run multiple independent operating systems simultaneously, maximizing server efficiency. With the anticipated growth in on-premises hardware (see Dell), NTNX should be in excellent position to grow revenues/earnings. The stock had been weak due to tightness in the memory market and server delays, providing an attractive attachment point. Looking ahead, we believe consensus estimates for the company are too conservative, resulting in the potential for meaningful upside should fundamentals evolve as anticipated.

LOOKING AHEAD

As we transition into the final quarter of 2026, a glance at market averages shows double-digit gains for the year and a remarkably resilient equity market. However, a deeper look below the surface tells a different story, with many stocks trading well below their 52-week highs and struggling from the combination of higher input prices, higher energy prices and now higher financing costs.

The year-to-date gains in stocks (as well as the broader economy) have been largely propped up by the massive investment in AI compute and datacenters – which to this point appears immune to the rise in yields. As long as hyperscalers continue their role as hyper-spenders, the AI capex flywheel will continue. These are odd times we are living in when companies such as OpenAI and Anthropic claim that their products could potentially trigger human extinction, and yet they are allowed to raise trillions of dollars via an IPO.

Suffice to say, any slowdown in AI spending could pull a major support beam out from underneath the broader market. And with free cashflow dwindling for many of the hyperscalers, the result is an increased reliance on external financing via the debt and private credit markets. AI companies have tapped the debt markets to such an extent in 2026 that they are now pushing up interest rates for the entire economy. If this AI buildout is able to generate persistent returns on capital, today's spending will look brilliant. At present, demand exceeds supply – resulting in impressive pricing power, margins and earnings. But it is the longer-term sustainability of return on investment that should define a quality

business. For now, it is full steam ahead, with the recent introduction of personal AI agents unlocking another avenue of growth (and competition).

We continue to closely monitor the developments in AI and their impact (both direct and indirect) on the SMID Fund. When significant capital flows into a few popular themes, valuation disparities often emerge elsewhere… that is where our team is more focused on identifying attractive investment candidates for the portfolio.

Thank you for your confidence in Cambiar Investors.

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IMPORTANT INFORMATION

To determine if a Fund is an appropriate investment for you, carefully consider the Fund's investment objectives, risk factors, charges and expenses before investing. This and other information can be found in the Fund's summary or full prospectus, which may be obtained by calling 1-866-777-7227 or by visiting our website at www.cambiar.com. Please read the prospectus carefully before investing.

Risk Disclosures

Mutual fund investing involves risk including loss of principal. The Fund pursues a "value style" of investing. If the Adviser's assessment of market conditions, or a company's value or prospects for meeting or exceeding earnings expectations is inaccurate, the Fund could suffer losses or produce poor performance relative to other funds or market benchmarks. In addition, "value stocks" can continue to be undervalued by the market for long periods of time, and may never achieve the Adviser's expected valuation." In addition to the normal risks associated with investing, investments in small companies typically exhibit higher volatility. A company may reduce or eliminate its dividend, causing losses to the fund. There is no guarantee the fund will achieve its stated objective. Diversification does not protect against market loss.

The Russell 2500™ Value Index measures the performance of the small to mid-cap value segment of the U.S. equity universe. It includes those Russell 2500™ Index companies with lower price-to-book ratios and lower forecasted growth values. Index returns do not reflect any management fees, transaction costs or expenses. The Russell 2000® Index is a float-adjusted, market capitalization weighted index that measures the performance of the 2,000 smallest companies in the Russell 3000® Index, which consists of 3,000 of the largest U.S. equities. Indexes are unmanaged and one cannot invest directly in an index. The S&P 500 Index consists of 500 stocks chosen for market size, liquidity, and industry group representation. It is a market-value weighted index, with each stock's weight in the Index proportionate to its market value. The S&P 500 Equal-Weight Index consists of 500 stocks chosen for market size, liquidity, and industry group representation. It is a an equal-weighted index, with each stock's weight in the Index proportionate to one another. Indexes are unmanaged and one cannot invest directly in an index.

As of 9.30.26, the top ten holdings for the Cambiar SMID Fund were:

Name	Weighting	Name	Weighting
Nutanix	3.0%	Hasbro	2.6%
Southwest Airlines	2.7%	Southstate Bank	2.6%
ON Semiconductor	2.7%	Gartner	2.6%
Quest Diagnostics	2.7%	Littelfuse	2.5%
Cooper Companies	2.7%	Solventum	2.5%

Current and future holdings subject to risk. For characteristics and risk definitions, please visit www.cambiar.com/definitions.

This material represents the portfolio manager's opinion and is an assessment of the market environment at a specific point in time and is not intended to be a forecast of future events, or a guarantee of future results. This information should not be relied upon by the reader as research or investment advice or a specific recommendation of securities. There is no guarantee that any forecasts made will come to pass.

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